INVESTMENT

Grow your money over time

Create a portfolio

Diversify your portfolio

“Mbona ufiche pesa chini ya godoro?”

Money losses value over time

Prepared by Sylvester

Lesson Outcome

By the end of the learning session, learners will be able to:

- Define Investment
- Classify different types of investment
- Explain different forms of Investment
- Evaluate investment decisions
- Develop an investment plan and goal
- Describe the reasons why you invest
- Where and how do you invest (Safe Investments), the risks involved
- Explain Cost of Investment
- Model Investment Mix as per age
- Explore sources of funds for investments
- Justify the need for getting professional advice
- Start an investment (as soon as possible) and predict the returns

Challenge

Have you ever invested?

Mention some of the investments you have ever undertaken

How much was your venture capital?

How long did the investment last?

If the investment failed, what caused the failure?

So is everyone a successful investor? What is your opinion?

(If investments do fail, then people need to be sensitized or taught on investment)

Hence what is investment?

What is investment?

Investment is committing time, effort and money into an asset with an aim of generating returns over time in order to maximize wealth

Such assets can be sold at higher price in the future

Think about this: Investment means **foregoing today's consumption** for an activity that will bring you more income in future. It's a process of putting money in some place with the intention of making a financial gain. That is you choose not to spend your money on food, clothing, leisure, but you purchase an asset that will earn you more income. Investment means spending your money in ways that increase your earning ability. This includes starting or expanding a business, buying livestock, buying shares in a SACCO/Company and building a house, among many other activities.

Categories of investments

Investment can be classified according to the time it takes before the investor starts getting returns

Short Term Investment	Medium Term Investment	Long Term Investment
The money invested is expected to bring returns (income) soon. The period it takes before the expected returns are received is within one year. Investments may include but are not limited to, starting a business e.g. a saloon, boda-boda, mpesa shop, keeping poultry for eggs or meat, buying government papers, grocery shop	The money invested bring returns between one to five years. Cash is expected to start flowing after one year; it could come as a lump sum or regular flow of cash. Examples include but are not limited to buying shares of a quoted company so as to earn dividend, developing your farm to increase productivity, rearing livestock.	The money invested is expected to generate returns after five years. These are investments that require a lot of money and take long before realizing income from them. Their income may start flowing after completion but will take long before you get the money you put into the project. They increase in value over time. These include investments into buildings (real estate), buying a farm or a plot, investing in infrastructure bonds.

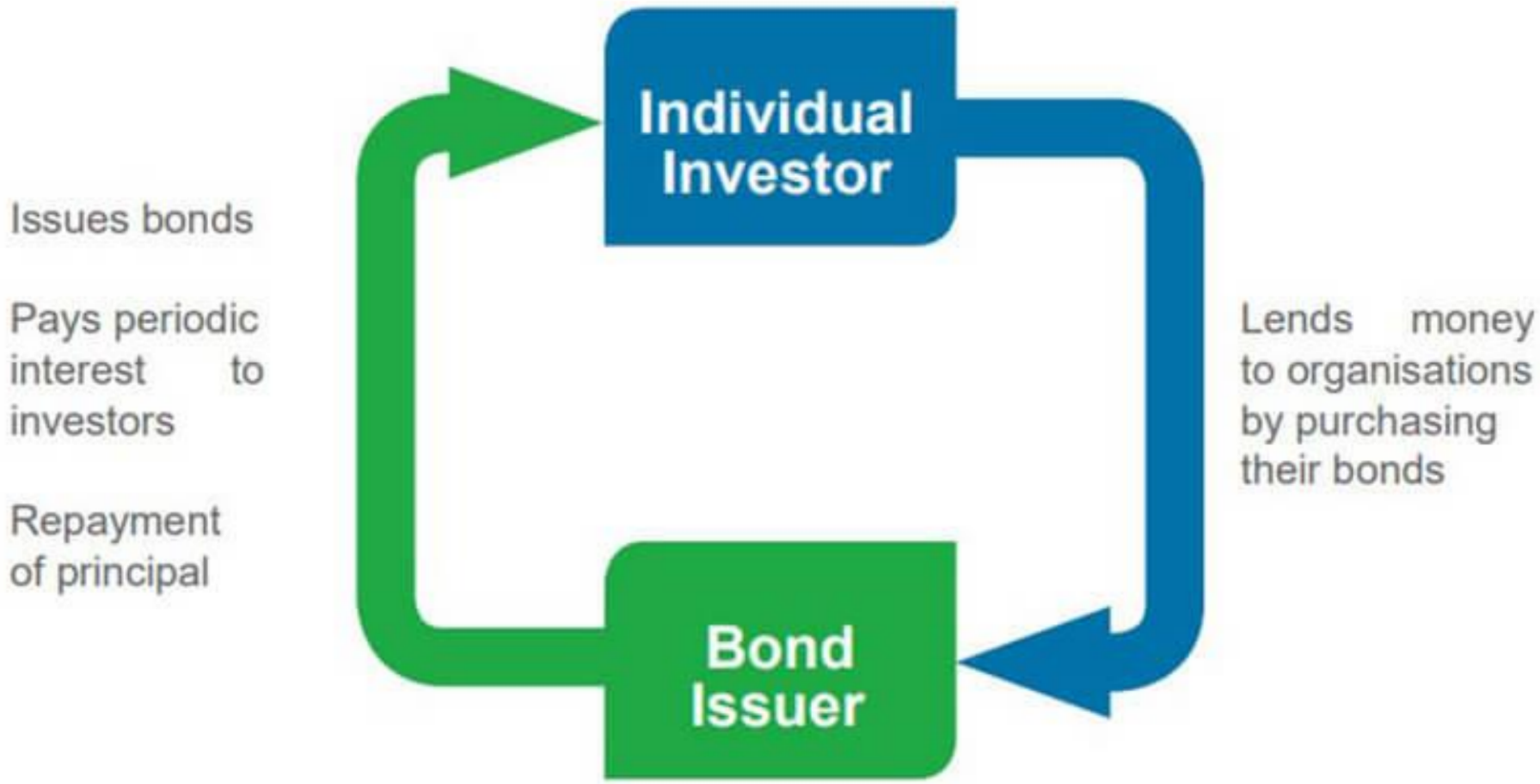
Forms of Investment

Form	Explanation
Business	These include businesses set up for production, processing and exportation. Some people have set up both big and small outlets for sale of goods and services. These can include retail and wholesale shops. Others are involved in import and export business e.g. to Uganda. Other forms of businesses that are common include 'mitumba', mpesa shops, saloons, boda-boda, schools, restaurants, retail and whole sale shops, financial institutions (Tala), insurance companies, hotels etc.
Farming	Agriculture is the backbone of Kenya and play a critical role in Kenya's economy accounting for 20 percent of Gross Domestic Product (GDP) according CBK (2023). Opportunities are available for investment in form of production, processing and exportation. Investments can be done in poultry, piggery, fishing, tree planting and harvesting, crop production e.g. cereals, bananas, animal keeping, fruit farming, processing and packaging or setting up a vegetable stall in the market. It's important to know that before you venture into any business, there is need to first make a feasibility study or find out and see whether it's profitable to operate it. *Note that income from Agriculture fluctuates so rapidly depending on seasons*
Real Estate	Investment in property or real estate or land is good business especially when the market is right. So before you invest in real estate, make a good analysis of the value, environment, cost involved and the demand for the assets to be invested in. Assignment: explore real estate companies in Kenya who sell land or houses and compare various possible returns
Cash equivalent investments	Includes money market funds, guaranteed investment certificates (GICs), and treasury bills. They are low-risk and therefore offer low-rate interest with low returns. This type of investment guarantees both the amount you invest and your interest. Assignment: Explore a list of instructions in the money market funds, what is the industry rate today; how much interest rates was payable on treasury bills last issued by the Government of Kenya?
Fixed income investments	When you invest in a fixed deposit, you lend your money to a financial institution and benefit from the interest that accrues on the money. Includes corporate or government bonds maturing in more than one year, preferred stock, and certificates of deposit. They pay a fixed interest and, in some cases, may go up or down in price.

(*continued*) Forms of Investment

Form	Explanation
Equities	A share (stock) is an instrument which represents part ownership of a company. When you invest in shares, you become a shareholder in the company and entitled to dividends from the profits of the company. To buy shares in a company that is listed on the stock exchange, you must contact a stockbroker who will buy them on the stock exchange for you. You can make money on stocks by selling at a higher value than what you paid, or by receiving dividends paid by the company. You can lose money on stocks if you sell at a lower value than what you paid. Dividends may not always be paid by the company as they depend on the performance of the company and the other decisions of the Board of Directors. One may also buy SACCO shares after becoming a member of that SACCO. There are two types of stocks: Common stock offers the potential for growth through rising share prices and dividends. Common shareholders are generally entitled to dividend payments and voting rights at shareholder meetings. Preferred stock is a type of fixed income investment. It offers regular income through fixed dividends and potential for growth through rising share prices. Preferred stock normally doesn't come with voting rights.
Bonds	A bond is a debt security where the bond issuer (the borrower) issues the bond for purchase by the bondholder (the lender). It is also known as a fixed income security, as a bond usually gives the investor a regular or fixed return. While stocks may offer you the potential for capital appreciation, bonds may provide a steady stream of investment income, and play an important role of potentially lowering your overall portfolio risks. When you invest in a bond, you are essentially lending a sum of money to the bond issuer. In return, you are usually entitled to receive interest payments (coupon) at scheduled intervals; and capital repayment of your initial principal amount at an agreed date in the future (maturity date).

How bonds work



(*continued*) Forms of Investment

Form	Explanation
Mutual Funds	A mutual fund is a collection of investments, such as stocks, bonds, or other funds, owned by a group of investors and managed by a professional money manager. The composition of the fund is guided by its investment objective. When you buy a mutual fund, you are pooling your money with other investors. The term may vary across countries but mutual funds may also be referred to as collective investment schemes, unit trusts or simply as funds. Click here to access the list of Unit Trusts in Kenya according to Capital Market Authority: https://licensees.cma.or.ke/licenses/15/
Annuities	Annuities are most commonly used to generate retirement income. An annuity is a contract with a life insurance company. You deposit a lump sum of money, and they agree to pay you a guaranteed income for a set period of time, or for the rest of your life. You can buy an annuity from a licensed insurance agent or broker, online from a broker or insurance company, or from a licensed financial advisor
Crypto assets	Crypto assets are digital assets that are traded on online platforms. The most common crypto asset is cryptocurrency. It is intended to work like a digital currency and allows its owners to buy or sell goods or services. It can also be saved and exchanged later. Many investors hold cryptocurrencies in the hope it will increase in value. Unlike traditional currencies, cryptocurrencies are not issued or backed by a government or central bank. Crypto assets are distributed through a digital ledger system called a blockchain. The blockchain is distributed through a network of computers and manages the chain of custody of the crypto asset. Crypto asset prices can be very volatile and increase or decrease many times during the day. In addition to being volatile, crypto assets can be vulnerable to fraud, manipulation and cyber attacks.

(*continued*) Forms of Investment

Form	Explanation
FOREX	Foreign exchange (forex) is the process of changing one currency into another. Foreign exchange involves risks. Fluctuation in the exchange rate of a foreign currency may result in gains or significant losses in the event that the customer converts deposit from the foreign currency to another currency. Typically, consumers looking to exchange smaller amounts will find more favourable rates at forex bureaus, while those looking to exchange larger amounts through foreign accounts will find better rates at commercial banks. **Example of Real Life Foreign Exchange Trading** Let's say you have 20 US Dollars, but you want Kenyan Shillings instead. Then you can convert your US Dollar into Ksh. via a regulated exchanger or bank. They will convert your Dollar into Kenyan Shilling at the latest exchange rates. In this above example, the exchange or bank will also charge a markup fees, to process your forex transaction. This fees is generally by offering you a sell rate higher than the buy rate. Let's say buy rate for 1 USD would be 106 Ksh. then the sell rate would be 105 or lower, depending on your bank which is participating in the FX market on your behalf to exchange your currency.
SACCOs	A Savings And Credit Co-Operative (SACCO) is an association of like minded individuals, registered under the Ministry of Cooperative Development & Marketing in Kenya, and authorized to take deposits from and lend to it's members. SACCOs are governed by the SACCO bylaws which state the objectives, membership, share capital, organization structure, management and lending regulations. The sector is regulated by the SACCO Societies Regulatory Authority (SASRA) As a member of the SACCO, you earn interest on your savings which are part of what you have borrowed lowering your borrowing costs further. You can borrow upto three times what you have saved. This borrowing can run another investment.

Reasons why people invest (justification)

The following are some of the reasons why people invest:

- You generate additional resources to protect your future well being.
- You achieve your financial goals such as buying a house or starting a business.
- You accumulate resources to pay for the education of your children.
- You accumulate resources to care for your children, ageing parents and other relatives.
- You secure your retirement income.
- You contribute to the growth of our national economy as your investment is deployed in the productive sector of the economy.
- You preserve the value of your money against inflation.
- You create employment opportunities.
- You increase your ability to earn more income.

Making Investment Plan

Always have an investment goal and plan before an investment decision is done or undertaken. Creating an investment plan will help you reach your financial goals. Steps in setting investment plan include:

1. **Set specific and realistic goals** instead of saying you want to have enough money to retire comfortably, think about how much money you'll need. Your specific goal may be to save Ksh. 10 million by the time you're 60 years old.
2. **Calculate how much you need to save each month** Now that you want Ksh. 10 million by 60th year, how much should you save per month? Say you will formally be employed at age 25.
3. **Choose your investment strategy** If you're saving for long-term goals, you might choose more aggressive, higher-risk investments. If your goals are short term, you might choose lower-risk, conservative investments. Or you might want to take a more balanced approach.
4. **Develop an investment policy statement** Create an investment policy statement to guide your investment decisions. If you have an advisor, your investment policy statement will outline the rules you want your advisor to follow for your portfolio

(continued) Making Investment Plan

Investment Policy Statement should bear the following:

- Specify your investment goals and objectives,
- Describe the strategies that will help you meet your objectives,
- Describe your return expectations and time horizon,
- Include detailed information about how much risk you're willing to take,
- Include guidelines on the types of investments that make up your portfolio, and how accessible your money needs to be, and
- Specify how your portfolio will be monitored, and when or why it should be rebalanced.

(continued) Making Investment Plan

The risks involved in an investment

Think about this scenario:

I purchased a dairy cow which I milk 15 liters per day. I sell a liter of milk at Sh.60. My neighbor seeing that I have a cow from which I earn good money also purchases a dairy cow. However, his cow is coughing and of late, has refused to eat.

Is it right to copy just like that? (safe investment)

Identify the problems with my neighbor copying me in terms of investment risks

Making Investment Decision

- It’s very critical to make good investment decisions in order to make your money grow. Many factors affect the investment decision of the person. These include:
    - The capital
    - The goal and plan
    - The environment
    - The culture
    - Your age

(*continued*) Making Investment Decision

Before choosing an investment ask yourself the following questions:

- **How does the investment work?** Do you understand the investment well enough to explain it to someone else?
- **What are your goals?** Are you looking for safety, income or growth from this investment? Or both growth and income?
- **What are the risks of this investment?** Are you comfortable taking these risks?
- **How much do you expect to earn on this investment?** Is this realistic?
- **How long do you plan to invest?** Is this a short-, medium- or long-term investment?
- **What are the costs to buy, hold and sell the investment?** And will you pay taxes on the money you earn?
- **What other investments do you have already?** How does this investment fit with your other investments? How will it change your asset mix

(*continued*) Making Investment Decision

Having asked yourself the questions in the previous slide, choose from the following the investment you will put your upkeep money from HELB

a. Investing in assets that appreciate in value e.g. land
b. Investing in projects/ventures for speculation e.g. shares
c. Investing in assets that start earning immediately like starting a shop or hotel
d. Investing in assets that offer services to other people e.g. taxi, pick up
e. Putting money in a joint business e.g. SACCO
f. Investing in more than one project, like having a farm and a shop, can spread risks
g. Putting some of the upkeep money from HELB into sale of “mitumba”
h. Opening a fixed deposit account with the bank

Money Value and Time Factor

- It's important to note that money loses its value over time. If you have a shilling today, you can buy more than what it could buy after one year. It only keeps its relative value if it's invested in an earning activity. Your money should earn income for you all the time. Guard against loss by putting your money in activities that earn. It's not just an earning activity but earning a lot of money. 🕐 Recall $P(1+r)^n$
- To evaluate your investment, you need to calculate the equivalent cash tomorrow and the gain you want to make. If your money is losing value by 10% per year, then it means your Sh. 1,000 today, will be equivalent to Sh. 1,110 next year same time. So if you invest Sh. 1,000 for one year, it should be more than Sh. 1,100 next year, at least to maintain its value. Any amount less than this will be a loss to you.
- Therefore, do let money lie idle in the bank or under the mattress!

Safe investment (less risky investments)

For some investors, their biggest fear is that they'll lose money. Some prefer less risky less returns (risk averse). Other investors focus growing money even if investment is very risky (risk tolerant).

The following may make an investment safe:

- 👍Time span of the investment is known
- 👍Little chances of losing money invested
- 👍 Steady of growth in the money invested
- 👍 Money invested grow in value as price level changes in the market
- 👍Money invested can be pulled out without heavy charges
- 👍government securities, bonds and treasury bills usually have very little risks
    - ✷Higher risk investments carry high returns

Risk-Return Relationship

Type of Risk	Explanation
Market Risk	Investments can decline in value because of economic changes or other events that affect the entire market.
Liquidity risk	You can't easily sell your investment and get your money out when you want to at any time. It also means failure to have cash when you need it.
Concentration risk	Putting all your money in one investment. This puts your money in high risk should that investment fail
Financial Risk (Business Risk)	Chances that the business you invest in fail to pick up, goes bankrupt e.g. a shop can fail to operate, rains may fail during planting season, company share prices can decline. That explains why some people prefer buying government securities instead of stocks or bonds even though the rate of return is lower.
Inflation Risk	The price you pay for goods and services rise faster than the rate of return on your investment. If you continually earn less than the inflation rate, you are losing purchasing power with your investment and your money is worth less.
Fraud Risk	Someone deceives you into investing in something where you get zero returns and lose the entire investment. "If the deal is too good, think twice". The best way to protect yourself from investment fraud is to invest with highly regarded reputable companies. Avoid fake investment scams or opportunities.

Investment Costs and Returns

To really know your return on an investment, you have to factor in your costs. Your total return is what you make after you pay any fees and charges. Companies and individuals which buy, sell or manage shares or bonds on your behalf will charge you fees. These will reduce the profits you will earn. Make sure you understand the fees you will pay before deciding whether to buy shares or bonds or make any other investment.

- It's important to know the different costs involved in undertaking an investment. You may have to pay fees to buy, hold or sell your investments. You may also have to pay accounts fees and fees for advice. Some common fees include:

❁Sales charges if you buy or sell an investment

❁ Management fees and operating expenses

❁Licenses and any other taxes

❁Trading commissions when you buy and sell an investment

❁Fees for selling an investment early or transferring an investment

❁Account fees, such as trustee fees for registered plans and fees to close an account

❁Fees for the advice you receive

❁You may also have to pay taxes on what your investments earn.

✋Ask your advisor of the costs & fees as not all of them may appear in the investment statement

Sources of Funds for Investments

The common sources of funds for investment include the following:

- ☞Personal funds – this may be derived from your savings (remember the budget we made in the previous topic)
- ☞ Group funds – the “merry go round” where you stay, this is very common with micro traders e.g. Karatina market or even in your village. You can also come together as friends and contribute funds
- ☞Loans – you can borrow money from financial institutions or from individual. Remember your savings in a SACCO guarantee you loan three times of your savings
- ☞Family members – your parents or siblings may provide you with funds to begin an investment. This is very common with Somali community, and it has proved to work positively.

Track Your Investment Returns

Always do not assume that after investment things will run smoothly. Remember the risks. The following three steps can assist you track your investment returns:

☎Find out the rate of return on the investment.

In most occasion, those who sell insurance fail to disclose full information on fees, costs & taxes thus making returns look higher. Your investment advisor should take these into account because they reduce return on investment

☎Assess the progress of the investment towards achieving your goal

Whether or not you are on track and make changes to your investment will mean you consider the following:

- How much you have invested,
- The growth you wanted, and
- What your investment is worth today.

☎Compare your investment returns against the returns of other alternatives

🗐If the returns on your investment is relatively higher, you are on safe. However, if the returns on alternative investments are relatively higher, consult your investment advisor or just consider changing the investment if such conditions are likely to persist for a long period of time.

Investment Fraud and Investment Scam

Investment fraud is the illegal activity where fraudsters use false or misleading information for financial gain by inducing someone to invest into non-existence asset

In Kenya, this heinous act is anchored in Law under **Prevention of Fraud (Investments) Act, 1977**

Read the following cases of investment fraud/scam (to find the cases listed below, type the sentence directly as it is into your the internet browser):

❶American Investors Sue Kenyan Businessman Julius Mwale For US$ 870,000 Fraud

❷Kenyan Citizen Found Guilty of Advance Fee and Investment Fraud Scheme

❸DCI Issues Warning As Kenyans Fall Victim To Online Investment Scams

❹Pyramid schemes prey on students

❺Gakuyo faces DCI probe over Sh1bn Ekeza Sacco scandal

❻Detectives to question Senator Moses Wetang'ula over gold scam

Types of Investment Fraud/Scam

Type of fraud	Explanation
Ponzi scheme	A Ponzi scheme (named after 1920's swindler Charles Ponzi) is a ploy wherein earlier investors are repaid through the funds deposited by subsequent investors. In this scheme, the investment claims is fictional in which case the total number of investors will grow but the number of investors decline thus reducing the amount of money to pay promised returns and investors who attempt to cash out. The scheme will collapse when the conman cannot keep up paying investors who want to cash out. The investors thus lose their entire money as the perpetrator will have spent the money in personal expenses.
Pyramid scheme	Pyramid scheme is a fraudulent multi-level marketing strategy whereby investors earn potential returns by recruiting more and more other investors. Multi-level marketing strategies are not intrinsically fraudulent, and there are many legitimate multi-level marketing companies offering various consumer products and services. New investors often must pay a fee and recruit others to earn extra money or commissions. *Have you ever attended investment seminars where you first pay before you enter? Then in the seminar, selected individuals give testimonials of how they have acquired wealth in the organization. You then tasked to go and recruit others so that the more you recruit the more you earn. That is a pyramid scheme.*
Pump and Dump Scams	This type of illegal securities fraud involves artificially inflating the price of a stock through false and misleading positive statements to sell the stock at a higher price. Once the fraudsters dump their shares and stop hyping the stock, the stock price typically falls and investors lose money.
Real Estate Investment Scams	This is a kind of fraud where you are lured to contribute money into a SACCO or a fund with a promise of owning a palatial home or acquiring a plot at the end of the investment but the managers then disappear and you lose your investment. This is very common in Kenya where adverts are run in TVs, radio & social media.

Types of Investment Fraud/Scam

Type of fraud	Explanation
Cryptocurrency related investment frauds	Cryptocurrencies burst into the investing mainstream in 2017 as the values of some virtual coins and tokens skyrocketed, led by Bitcoin. People were easily attracted by stories of "crypto-millionaires" but ended up losing their money Before investing into cryptocurrency, do a lot of due diligence as they are highly risky
Social Media/ Internet investment frauds	Online scammers take advantage of social media platforms like Whatsapp, Facebook, Twitter, Instagram etc where a group of persons have already built trust with each other. Some also use emails. The online scammers will lure you into investing into a company that promises high returns with no risk. Please recall what we have learnt so far, that there is no investment that does not contain a risk. In most cases these organizations you are told to invest have very suspicious websites or sometime there is nowhere to find information about them; however, they will encourage you to recruit your friends
Precious metals and coins investment scams	These are scammers who lie about their being professional in dealing with precious metals like gold. They will trick your by creating a sense of urgency citing that the gold or any other mineral they have is in small quantity but the buyers are so many so you should hurry. Remember the case of Moses Wetangula and the gold scam

Investment Mix (Diversified Portfolio)

Diversification is a way to try to reduce risk by choosing a mix of investments. With a diversified portfolio, you spread your money across different types of investments (or asset classes).

The three main asset classes are:

- **Cash and cash equivalents** – like savings accounts or treasury bills
- **Fixed income investments** – like bonds (e.g. infrastructure bonds)
- **Equities** – like stocks and shares (traded in Nairobi Stock Exchange)

Diversification assist balance **risk and return**

If you hold two or more investments, then one best performing investment will offset the other loss making investment.

For example, fixed income investments and equities often move in opposite directions. When investors expect the economy to weaken and corporate profits to drop, share prices will likely fall. When this happens, central banks may cut interest rates to reduce borrowing costs and stimulate spending. This causes bond prices to rise. If your portfolio includes both stocks and bonds, the increase in the value of bonds may help offset the decrease in the value of stocks.

Reasons for Diversified Portfolio

You may opt to have a mix of investments due to the following reasons:

- ✓Not all types of investments perform well at the same time.
- ✓Different types of investments react differently to world events, interest rates and other factors in the economy.
- ✓When one type of investment is down, another may be up.
- ✓Having a mix of different types of investments may help smooth out your returns.
- ✓The future is uncertain, mixed investment reduce future downturns
- ✓The changes in government policies may render an investment illegal
- ✓Changes in demographic characteristics: e.g. Genz wear crocs instead of closed shoes

The Right Diversified Portfolio

The right mix of investment is that which bear the following features:

☑ Help balance risk with your expected rate of return on your investments,

☑ Fit your tolerance for risk (risk averse/avoiding risk, risk neutral/being indifferent, risk tolerant/risk taker)

☑ Let you get your money when you need it,

☑ Help provide the growth you need to reach your financial goals,

☑ Change as your needs because financial goals change over time.

Age and Investment Mix

Your age and life situations play a major role in asset mix subject to risk and return:



The age bracket	Investment Mix
Youthful: Age 18 - 34 	• Thousands of youths leave the University with the hope of getting a dream job but only few get it • It is good to invest at this age whether employed or not • At this time, you lack much savings • You can opt for long term high risk – high return investments because there is time
Middle years: Age 35 - 54 	• At this age You may be earning more than ever, and you may also have a lot more responsibilities, including: • Children to support or help through school & extended family matters • Saving for retirement • Debt • Some are now having their second or third borne or have divorced and are lonely for the first time in life. You may opt for medium term investment where you move your money to safer ventures
Retirement age: Age 54 - 60 	• At this age, your energy has started declining. • You are seeing your grandchildren and has settled at the rural home or the land you purchased while working • move your investments gradually over to safer, guaranteed investments. • Protect your savings because you'll use them at the retirement age, start checking at pension balances • Opt for short term low risk investments as you are approaching retirement

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Conclusion

As far as investment is concerned, remember the following:

Let your money grow by putting it in a worthy venture

Wealth is created from investment

Returns from investment make you rich

Money alone cannot make you rich, “usiweke pesa chini ya godoro”

Do not put all your eggs in one basket

Be mindful of the risks each investment carry

Always monitor the performance of your investment (evaluation)

Before investing your money, calculate what you expect to earn in future from the investment.

Assignment

Paul while seated at his crocs shop is approached by Christine, a sweet talking lady donned in a blue suit and with sparkling looks. Christine says she is selling investment from Equity bank that is risk free and guarantees high returns than the shop. Paul is first hesitant and would wish to call or visit Equity bank but Christine is so convincing that Paul falls prey and signs some forms without verifying whether Christine actually works with Equity bank. At first, Paul invests Sh.100,000 which he earned Sh.500,000 in return. With this kind of return, Paul invests another Sh.1 million and got Sh.3 million in return. Unknown to him, the returns are money from new investors and no asset exists. Paul sees as if this is heaven and goes to the bank and pulls all the Sh.10 million for retirement and invests. Oops, a year passes without being paid and Christine is not picking calls. Upon visiting Equity bank, Paul is informed that Christine is not an employee of the bank. Paul losses all his money and runs into depression. His wife runs away and his friends are nowhere. Paul is in another planet.

① Name the type of investment fraud that bedeviled Paul

② Assess whether Paul understood the meaning of investment

③ Discover four problems that were in this investment

③ Explain two possible risks that the investment carried with it

④ Qualify this statement for Paul “a bird at hand is worth two in the bush”

⑤ Justify why Paul needed a professional advice before investing his money

⑥In this scenario, explain the kind investment personality Paul is, in terms of risk tolerance

⑦ Assess four types of investments that Paul could rather invested in than in this scam